

Instructor Manual — Interpretation and Teaching

Purpose

This guide helps you interpret simulation results and teach value chain concepts using evidence from the game.

Core Concepts to Teach

1. Value-creating activities directly drive competitive advantage.
2. Value-supporting activities amplify value-creating work through linkages.
3. Non-value-add activities consume resources and create drag if left unchecked.
4. Fit and complementarity often outperform scattered investment.
5. Shocks reward resilience and preparation, not just short-term spending.

What the Metrics Mean

Use these definitions consistently in class.

Activity Health

A 0–100 score for each activity’s current capability. Health rises with investment and falls with decay or shocks.

CAS (Competitive Advantage Score)

A per-cycle score based on: 1. Base score from value-creating activity health relative to peers. 2. Linkage bonuses when support and primary activities both meet thresholds. 3. Shock effect, positive if immune, negative if exposed. 4. Non-value-add drag from active overhead activities.

Budget

A function of revenue, CAS effects, and non-value-add maintenance costs. Budget signals how today’s choices constrain tomorrow.

Rank

A relative measure of performance. Use it as a conversation starter, not the sole learning outcome.

Interpreting Common Patterns

Pattern: Consistent Focus Beats Spread-Thin

Observation: Teams that choose a coherent investment focus usually show steadier CAS gains. Teaching angle: Consistency builds capability; random investment produces weak reinforcement.

Pattern: Linkages Create Non-Linear Gains

Observation: Teams with healthy support and primary activities see step-changes in CAS. Teaching angle: Complementarity matters; the value chain is a system, not a list.

Pattern: NVA Elimination Is a Tradeoff

Observation: Eliminating NVA frees future budget but costs upfront. Teaching angle: Cost reduction creates slack, but timing and coordination matter.

Pattern: Shocks Expose Fragility

Observation: Unprepared teams lose health and CAS during shocks. Teaching angle: Robustness is strategic; resilience often comes from prior capability building.

Debrief Questions (By Cycle)

Use these to connect outcomes to concepts.

After Cycle 1

1. What did you choose to invest in and why?
2. Which activities decayed most, and why might that matter?
3. Did you observe any early linkage effects?

After Cycle 2

1. What changed between cycles, and what decisions drove that change?
2. Did any team trade short-term results for long-term positioning?
3. Where did you see evidence of fit (or lack of fit) among activities?

After Cycle 3+ / Final Debrief

1. How did your investment pattern affect CAS over time?
2. Which supporting activities produced visible leverage?
3. How did NVA decisions affect your budget trajectory?
4. What would you do differently with one more cycle?

Teaching Scripts (Short Prompts)

1. “Tell me the causal story between your decisions and your CAS change.”
2. “What capability did you choose to build, and what did you neglect?”
3. “Where did the system amplify or punish your choices?”

Common Misconceptions to Address

1. “Highest spend always wins.”
2. “Supporting activities are secondary and can be ignored.”
3. “Cutting NVA is always good immediately.”
4. “Shocks are random, so preparation doesn’t matter.”

Assessment Ideas (Optional)

1. One-page reflection: decision logic, observed effects, and revision plan.
2. Team debrief slide: causal model of their results.
3. Short quiz: identify value-creating vs supporting vs non-value-add examples.

Mapping Simulation Elements to Porter’s Value Chain

Use this to align with course content. 1. Primary activities map to value-creating activities in the simulation. 2. Support activities map to value-supporting activities and linkages. 3. Overhead and waste map to non-value-add activities. 4. Fit across activities explains compounding advantage.